

COLLEGE PAYROLL ACCOUNTING (130)

—Post-secondary—

STATE – 2019

Multiple Choice (10 @ 2 points each) _____ (20 points)

Matching (10 @ 2 points each) _____ (20 points)

Short-Answer Questions: Calculations _____ (46 points)

Problem Section:

Problem 1: Payroll Register _____ (57 points)

Problem 2: Payroll Register & Journal Entries _____ (69 points)

TOTAL POINTS _____ (***212 points***)

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Calculate all calculations to four (4) decimals, then round to the nearest cent.
- 2018 Payroll Tax Rules Apply
- Social Security (OASDI): 6.2% on the first \$128,700
- Medicare (HI): 1.45%
- FUTA: .6% on first \$7,000 of employee wages
- SUTA: Information is in each question
- Overtime paid time and a half unless otherwise stated

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. Which employee payroll classification will *likely* require an accrual adjusting entry for the gross salaries or wages at the end of a calendar month?
 - a. Exempt Salaried Employees Paid Semi-monthly
 - b. Salaried Employees Paid Monthly
 - c. Hourly Employees Paid Weekly
 - d. None of the above
2. Which of the following is *not* taxable for FICA purposes?
 - a. Dismissal Pay
 - b. Holiday Pay
 - c. Tips less than \$20 per month
 - d. Vacation Pay
3. Is Vacation, Sick and/or Holiday pay guaranteed under FSLA?
 - a. Yes, all three are guaranteed
 - b. No, none are guaranteed
 - c. Only Vacation pay
 - d. Only Holiday pay
4. Remuneration paid every two weeks is called _____.
 - a. semi-monthly
 - b. bi-weekly
 - c. bi-monthly
 - d. semi-annual
5. Under the Affordable Care Act, the HI rate goes up .9% when _____.
 - a. an employee earns more than \$200,000
 - b. married couples earn more than \$250,000
 - c. Both a and b
 - d. Neither a or b
6. The FICA tax rate for the self-employed person for 2018 is _____.
 - a. Social Security 4.2%, Medicare 1.45%
 - b. Social Security 12.4%, Medicare 2.9%
 - c. Social Security 6.2%, Medicare 1.45%
 - d. Social Security 6.2%, Medicare 2.9%
7. Amounts from gross pay taken out before taxes are calculated are called _____.
 - a. Garnishment
 - b. Post-tax Deduction
 - c. Commission
 - d. Pre-tax Deduction

8. An employer with payroll liabilities of \$50,000 or less in a lookback payroll period are _____ depositors?
 - a. monthly
 - b. semi-weekly
 - c. next day
 - d. quarterly
9. What is the taxable limitation for HI on wages for 2018?
 - a. \$118,500
 - b. \$127,200
 - c. \$128,400
 - d. None of the above
10. Which taxes are deferred when employees contribute to a 401K?
 - a. FIT
 - b. HI
 - c. OASDI
 - d. Both b and c

MATCHING

Match the terms below with the definitions at the bottom of the page.

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|--|----------------------|
| 11. ____ Worker Compensation Insurance | 16. ____ FICA |
| 12. ____ Garnishment | 17. ____ FUTA |
| 13. ____ Form I-9 | 18. ____ Local Taxes |
| 14. ____ Form 944 | 19. ____ Commission |
| 15. ____ Wages | 20. ____ Form W-4 |

DEFINITIONS:

- A. The pay earned by hourly-paid employees
- B. The combination of the Social Security tax and the Medicare tax is referred to by the acronym
- C. The federal form on which an employee indicates the number of exemptions/dependents to be used in calculating the amount of federal income tax withholding for the employee is the
- D. An example of a court-ordered employee withholding
- E. A cost paid by the employer to cover an employee's work-related injury
- F. A tax paid by the employer that is 0.6% of each employee's first \$7,000 of annual salary or wages is
- G. The Employment Eligibility Verification
- H. Employee Compensation paid upon completion of a task such as sales
- I. The Employer's Annual Federal Tax Return
- J. Payroll taxes levied by a city or county government

SHORT ANSWER QUESTIONS

1. Princess Jasmine worked 42.25 hours on a weekly payroll job; her rate of pay is \$18.75 per hour. If the company she works for uses the Overtime Premium method, answer the following questions regarding Jasmine's weekly pay?

Regular Earnings	\$ _____
Overtime Earnings	\$ _____
Total Earnings	\$ _____

2. Snow White earns an annual salary of \$62,275 for a 40-hour work week. Complete the following gross pay chart:

Monthly	Semi-monthly	Bi-weekly	Weekly	Hourly Rate	Overtime Rate

3. The Friends Company has six employees that they pay bi-weekly; 2 earn \$1,800 per pay period, 2 earn \$2,600 per pay period, and 2 earn \$4,000 per pay period. The first \$9,500 of earnings are taxable for SUTA (3.2%). Answer the following questions regarding The Friends Company unemployment for the third pay period of the current year.

Taxable Earnings for FUTA for the third payroll	\$ _____
FUTA Liability for the third payroll	\$ _____
Taxable Earnings for SUTA for the third payroll	\$ _____
SUTA Liability for the third payroll	\$ _____

4. Belle Beauty earns a salary plus bonus commission on sales and is paid bi-weekly. Her regular salary is \$820 per week. She earns an extra 3.25% on all net sales over \$4,750 per pay period. During this pay period she had the following sales and merchandise returns.

Sales	\$ 6,775	Sales Returns	\$ 450
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Answer the following questions regarding Belle's gross pay for this pay period.

Regular Salary.....	\$ _____
Sales Subject to Bonus	\$ _____
Bonus Earnings	\$ _____
Total Earnings.....	\$ _____

5. Prince Aladdin earns a weekly salary of \$725 for a 40 hour week and earns a 10% shift differential for working late evenings (after 6pm). If his schedule is to work from 3pm-midnight, with a one-hour lunch break from 7pm-8pm, what was his gross pay?

\$ _____

6. Timothy Q. Mouse works under a piece-rate work agreement, and he earns an extra half time his regular weekly wage for overtime hours beyond the 40-hour work week (1/2 regular hourly rate). Timothy is paid weekly for the following pieces during a particular week. Calculate Timothy's regular and overtime pay. He is paid \$5.20 per piece and is calculated & rounded on a daily basis.

Monday	(8.25 hours)	50 pieces
Tuesday	(8 hours)	55 pieces
Wednesday	(7.5 hours)	42 pieces
Thursday	(9.25 hours)	55 pieces
Friday	(7.5 hours)	45 pieces
Saturday	(4 hours)	30 pieces

Regular Earnings \$ _____

Regular Hourly Rate \$ _____

Overtime Rate \$ _____

Overtime Earnings \$ _____

Total Earnings \$ _____

PROBLEMS:**1. (57 points, 1 each)**

Complete the following Payroll Register for Fantasyland Corporation. All employees are paid by the hour, assume all employees are Single, have 0 withholding allowances, and are paid weekly. **Use the provided withholding tables to find the FIT withholding.**

Payroll Register											
NAME	Reg.	Reg.	OT	OT	Total			Deductions			Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	FIT	Pre-tax Group Ins.	401K	
Mickey	40	13.25	1							15.00	
Minnie	34	13.50							15.00	60.00	
Donald	40	11.40	4						15.00		
Daisy	38.75	11.25							15.00		
Goofy	35	9.50							15.00	25.00	
Pluto	40	8.25	4.25						15.00	25.00	
Chip	40	9.80	2.75						15.00	15.00	
Dale	37	10.15									
TOTALS		XXX		XXX							

2. (61 points, 1 each payroll register; 2 points each on journal entries)

Complete and total the Payroll Register and journalize the payroll and employer's taxes using the Castle's Payroll Register below. This is the first payroll of the year. All employees are paid by the hour, assume all employees are Single, have 0 withholding allowances, and are paid weekly. The pay period ends on 1/6/18 and the pay date is 1/10/18. The State unemployment rate is 2.8%. **Use the provided withholding tables to find the FIT withholding.**

Payroll Register											
NAME	Reg.	Reg.	OT	OT	Total			Deductions			Net Pay
	Hours	Rate	Hours	Rate	Wages	OASDI	HI	FIT	Post-tax Group Ins.	401K	
Cinderella	40	10.50		15.75	420.00	26.04	6.09		10.00	20.00	
Aurora	38	12.15		18.23	461.70	28.63	6.69		10.00	60.00	
Ariel	40	11.60	5	17.40	551.00	34.16	7.99		10.00	15.00	
Jasmine	39	10.75		16.13	419.25	26.00	6.08		10.00		
TOTALS		XXX		XXX							

11- CASH

24- FIT PAYABLE

27- FUTA PAYABLE

54 - PAYROLL TAX EXPENSE

22- OASDI PAYABLE

25- 401K PAYABLE

28- *SUTA PAYABLE*

23- HI PAYABLE

26 - IINSURANCE PAYABLE

53- WAGES EXPENSE

[illegible]